Deposits are strong in deflation. Capital allocation makes the difference in inflation.

MONEY & INFLATION

Even the same ¥10 million changes in “strength” with the economic environment.

DEFLATION

Prices fall → cash’s relative purchasing power rises.
Simply keeping deposits and waiting can make real value easier to preserve.

INFLATION

Prices rise → cash’s purchasing power falls.
Asset growth differs according to what you hold.

From the ability to save to the ability to invest.

Why do deposits tend to be advantageous in deflation?

DEFLATION

¥1 million

When prices fall, the same ¥1 million buys more.

In other words

Even with low interest rates, allowing for falling prices, cash’s “real value” can rise.

Meanwhile, the real burden of debt tends to increase.
In deflation, even “doing nothing” has value.

In inflation, deposits alone lose purchasing power

INFLATION

Example: hold ¥10 million at 0% interest.
Prices +3% × 10 years.
The bank balance stays at ¥10 million, but…

Purchasing power ≈ ¥7.44 million

Simple calculation: ¥10 million ÷ 1.03^10.

Key point

Can you secure an after-tax return above inflation over the long term?

Income is not the only source of inequality

WEALTH GAP

1. Surplus funds

Do you have money available to invest?

2. Asset selection

What do you own: stocks, real estate, businesses, etc.?

3. Investment knowledge

Can you judge price and value?

4. Compounding

Differences accumulate as time passes.

Inequality in an inflationary era
= “whether you own assets” × “how you allocate them” × “time”

Investing does not guarantee profits. Beware of overpaying and poor asset choices.